OFFICE ESSENTIALS AUSTRALIA (OEA) BI REPORT

Executive Summary

This report delivers a comprehensive Business Intelligence analysis for Office Essentials Australia (OEA), combining diagnostic, predictive, and strategic insights to address key challenges including margin pressure, customer retention, and shifting product preferences.

Business performance metrics indicate modest profit growth in 2024 (+4.6% YoY), with notable spikes in procurement-heavy periods like March and November. However, underperformance in Technology and Furniture categories signals a need for targeted sales strategy realignment.

Regional analysis reveals a mixed growth landscape. NSW and Victoria remain high-volume but saturated markets, while WA and Queensland show promising expansion. ACT and NT offer untapped potential, and Tasmania and SA underperform across all metrics, warranting tailored acquisition strategies.

Customer segmentation using RFM and profitability tiers highlights value concentration among Loyal and Platinum-tier clients, who drive over $48M in revenue through high-frequency purchases of core products like Phones, Chairs, and Paper. Mid-tier customers present cross-sell opportunities, while low-value segments may benefit from cost-efficient service models.

Product preference heatmaps and CLV modelling reinforce the importance of lifecycle-driven targeting and reveal strong links between behavioural segments and category affinities. The churn analysis identifies high-risk regions (e.g., Victoria), guiding retention initiatives based on Queensland's successful engagement tactics.

Ultimately, this report provides OEA with a roadmap to optimize margin resilience, personalize product strategies, and scale customer value through data-driven decisions.

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Introduction

Office Essentials Australia (OEA) is a well-established Australian supplier specializing in stationery, technology, and furniture, serving a diverse client base that includes offices, small businesses, and large corporate organizations. Dedicated to supporting the long-term sustainability of its customers, OEA ensures workplaces are equipped with essential products necessary for operational efficiency and productivity.

This report provides a comprehensive assessment of OEA's business health, in-depth analysis of the customer base utilizing techniques such as RFM (Recency, Frequency, Monetary) analysis, examines product segments that drive profitability, and explores metrics such as customer lifetime value and churn rate. The aim is to offer data-driven recommendations that can enhance customer loyalty, reduce attrition, and inform future business strategies.

The report is structured into four key sections:

1. Overall Business Health Assessment
2. In-Depth Analysis of the Customer Base
3. Product Performance Analysis
4. Customer Lifetime Value and Churn Rate Analysis

1. Overall Business Health Assessment

1.1 Key Business Indicators (KPIs)

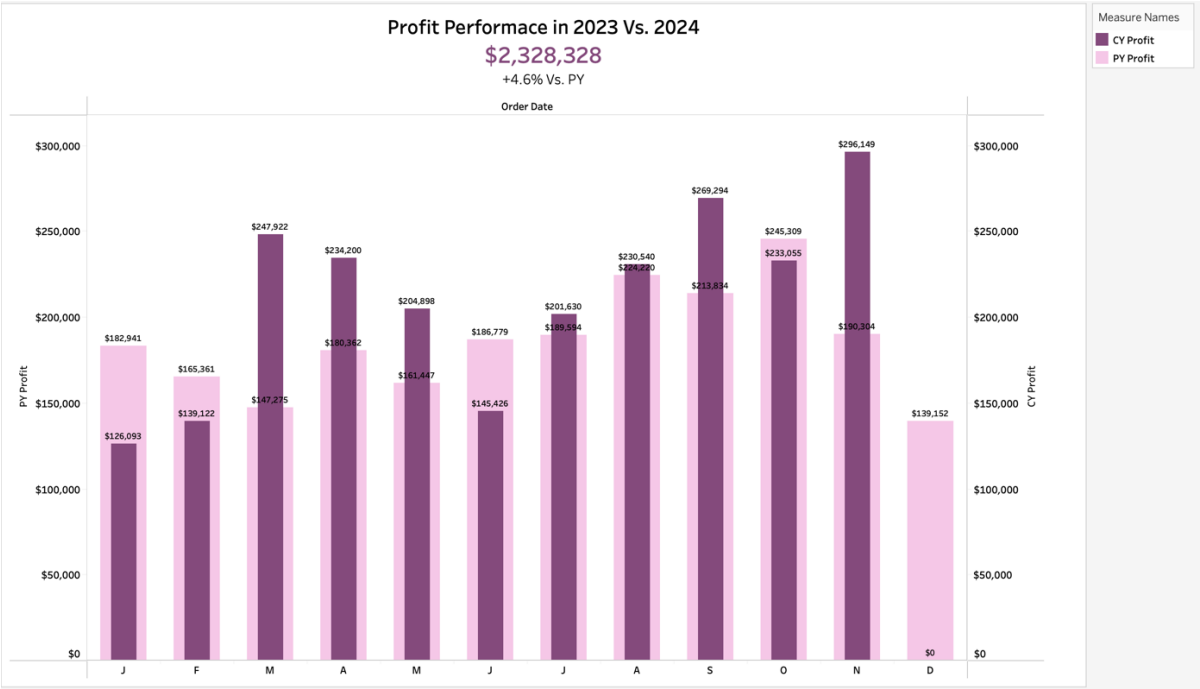


Figure 1.1a: Profit Performance in 2023 Vs. 2024

Sales Amount Vs. Sales Amount Target % Differences from 2023 - 2024

Product Type	Prod Sub Group	2023		2024	
Furniture	Bookcases	↓	-23.5% / -23.6%	↓	-10.0% / -33.5%
	Chairs	↑	8.3% / 8.1%	↓	-45.1% / -62.4%
	Furnishings	↓	-1.0% / 4.5%	↓	-31.1% / -55.0%
	Tables	↓	-42.9% / -43.8%	↓	-3.8% / -35.5%
Office Supplies	Appliances	↑	22.9% / 22.3%	↓	-27.4% / -51.2%
	Art	↓	-36.4% / -36.4%	↓	-2.6% / -33.6%
	Binders	↓	-21.9% / -22.2%	↑	27.6% / -8.6%
	Envelopes	↓	-7.9% / -5.1%	↑	9.6% / -23.3%
	Fasteners	↓	-29.4% / -32.3%	↑	216.6% / 90.1%
	Labels	↓	-59.5% / -59.5%	↓	-1.9% / -30.0%
	Paper	↓	-36.6% / -36.6%	↓	-13.7% / -38.9%
	Storage	↓	-25.4% / -25.6%	↑	143.9% / 59.8%
	Supplies	↓	-36.1% / -35.8%	↑	40.1% / -5.1%
Technology	Accessories	↓	-46.2% / -45.6%	↓	-27.2% / -49.6%
	Copiers	↓	-54.5% / -54.3%	↓	-34.1% / -53.6%
	Machines	↓	-67.8% / -68.0%	↑	15.7% / -22.8%
	Phones	↓	-60.5% / -60.5%	↑	4.7% / -27.9%

Product Type
(All)
Furniture
Office Supplies
Technology

AGG(SHAPE)
-ve
+ve

Figure 1.1b: YoY Sales Vs. Target Percentages Differences

Figure 1.1a presents a detailed monthly comparison of OEA's profit performance for 2023 and 2024, measured by actual sales margin and percentage change. In 2024, total profit was $2,328,328, which is a 4.6 percent increase compared to 2023, amounting to roughly $102,000 in additional profit. The breakdown by month shows substantial gains in March, where profit rose from $147,276 in 2023 to $247,922 in 2024, and similar strong results in September ($269,294 versus $213,214) and November ($296,149 versus $190,834). These spikes align with common business procurement cycles in Australia, such as the financial year end sales where shoppers indicate they tend to shop during EOFY sales from July (Australian Retailers Association, 2018) and back-to-work periods, where organizations typically increase purchasing and stock up on office supplies (Burgio-Ficca, 2024).

The year-over-year sales against target percentage differences indicate that OEA's key performance indicators (KPIs) demonstrate considerable underachievement across the majority of product groupings in both 2023 and 2024, particularly in Furniture and Technology. Office Supplies have intermittent substantial increases, such as Fasteners and Storage in 2024. These patterns signify domains needing strategic emphasis to improve sales and operational efficiency.

1.2 Regional Performance Analysis

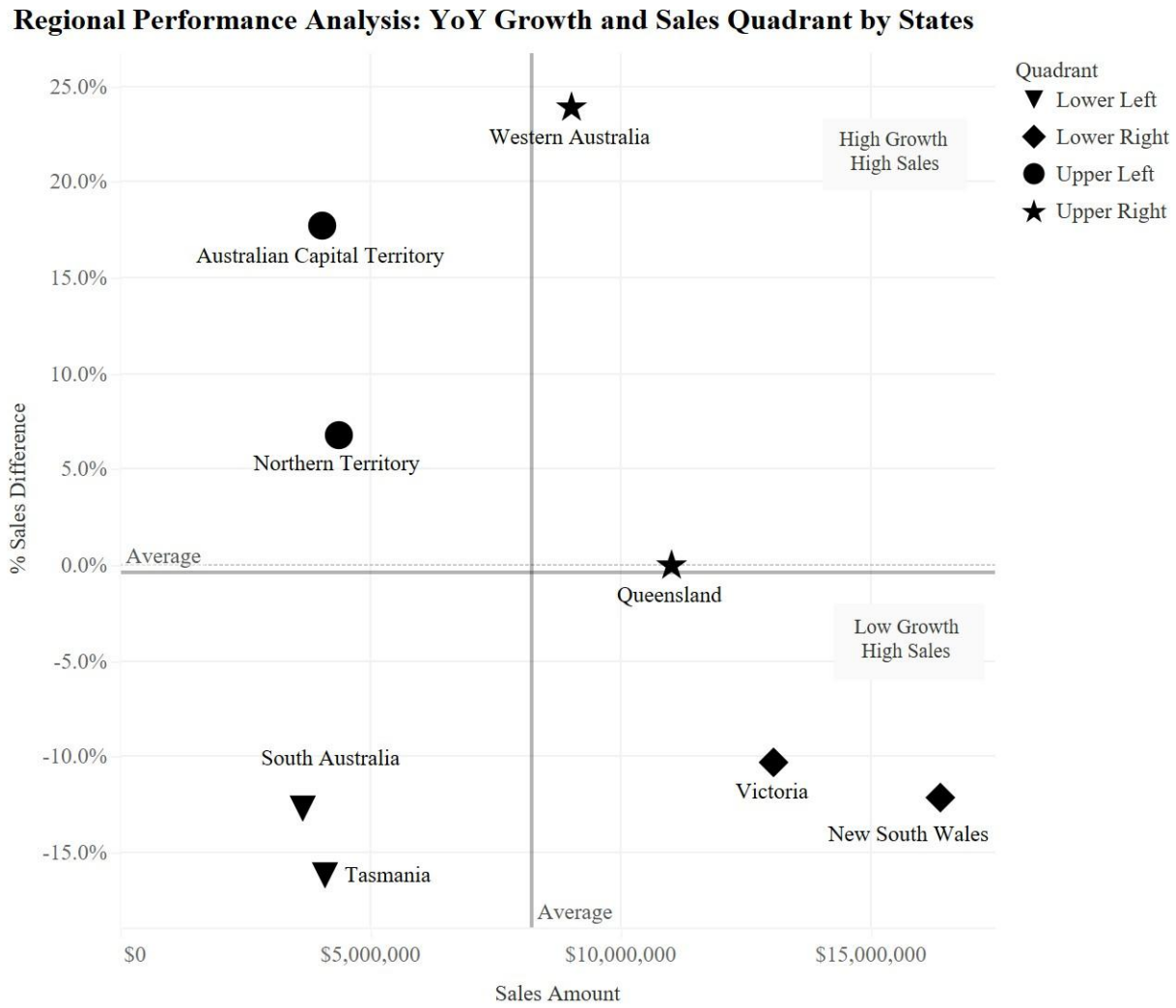


Figure 1.2a

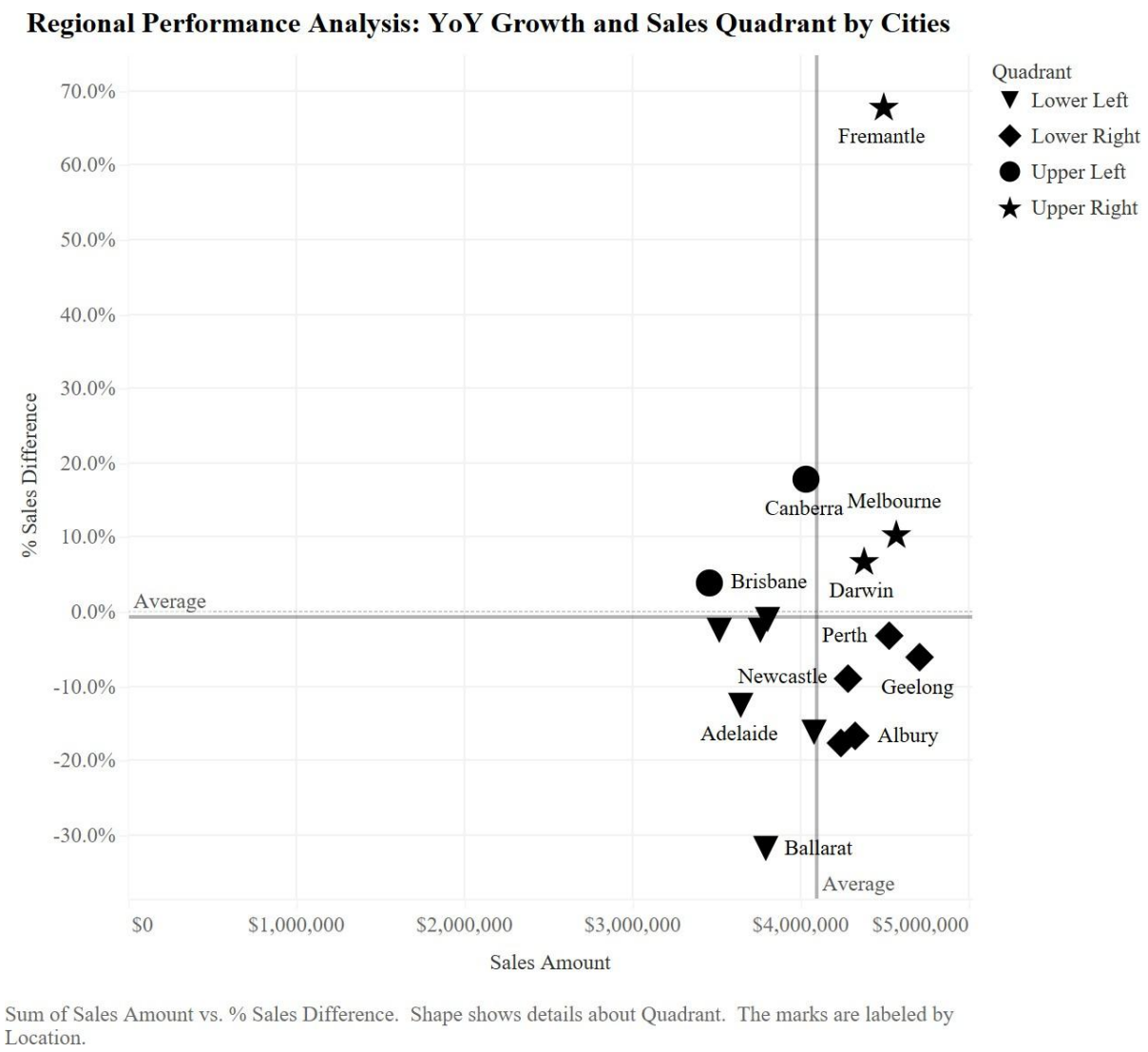


Figure 1.2b

The quadrant analysis reveals four distinct performance clusters: WA and Queensland achieving optimal high-growth, high-sales performance; Victoria and NSW showing market maturity with high sales but constrained growth; ACT and NT representing untapped high-growth, low-sales potential; and Tasmania and SA demonstrating concerning dual underperformance.

This performance distribution reflects Australia's business concentration patterns, where large populations and high business density in NSW, Victoria and Queensland attract office suppliers through better access to skilled workers and operational support (Burgio-Ficca, 2025). Statistics show that NSW's commanding position with the highest average CBD rent at $1,519 per square

meter in Q1 2025 (Statista, 2025) justifies high-priced and premium positioning strategies to deepen sales growth. Moreover, Sydney and Perth's rising office demand with positive net absorption demonstrates businesses investing in quality CBD workspaces (Oxford Economics, 2025), creating opportunities for OEA to support workspace upgrades with high-margin, hybrid-compatible products in these cities.

These insights drive targeted strategic approaches: investigating WA's successful penetration tactics for replication in high-potential ACT/NT markets, implementing premium service differentiation in mature NSW/Victoria markets to defend sales growth while capitalizing on workspace investment trends; and developing acquisition campaigns in underperforming Tasmania/SA regions with tailored value propositions that address their unique business ecosystems and reduced competitive pressures.

1.3 Market Trends & Forecasting

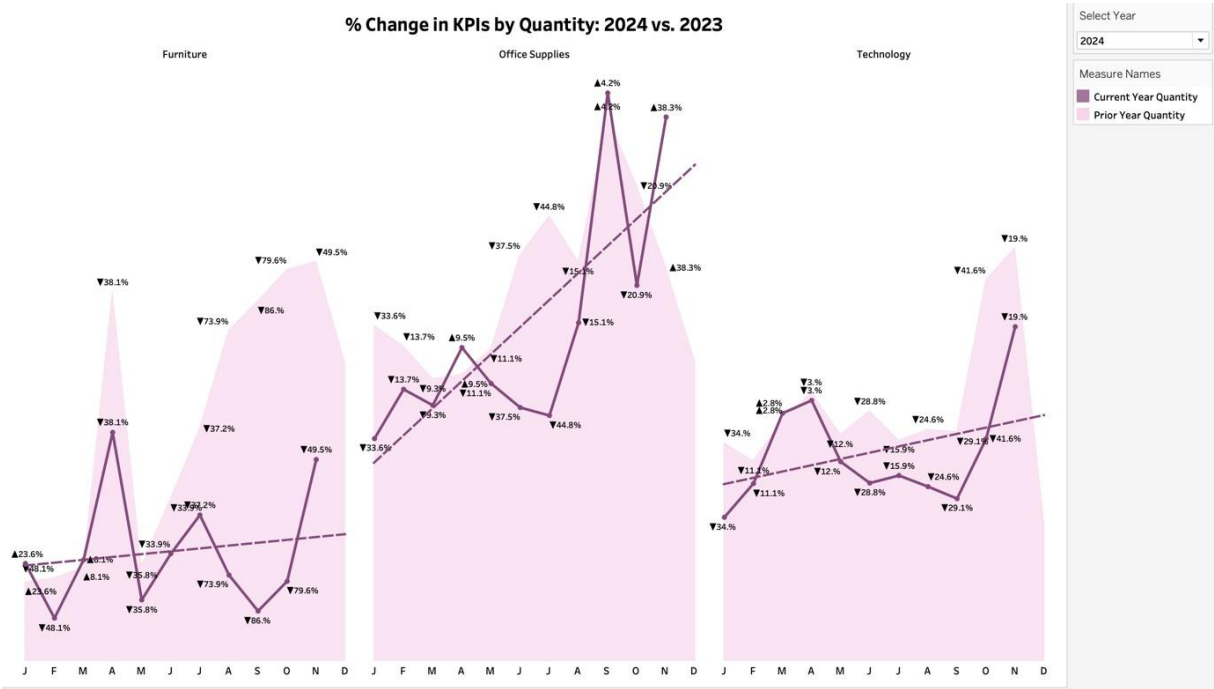


Figure 1.3: Percentage Change in Quantity between 2023 and 2024

The reduction in international student numbers by the Australian Government in 2025, alongside stricter visa restrictions, has notably decreased rental demand in areas popular with students. This decline in population inflow has directly weakened sales in the Furniture category for OEA (Truu, 2025). Additionally, the shift towards remote work has further diminished demand for traditional office furniture, adversely impacting overall furniture revenue (McKinsey Global Institute, 2023). Furniture subgroups experienced significant drops in quantity in both 2023 and 2024.

Economic factors such as reduced income post-COVID-19 and ongoing inflation have led individuals and renters to become more price-sensitive, often opting for essential goods, second-hand or multifunctional furniture instead of new, premium products (Cavallo, 2024). The impact of lower-priced competitors, such as Kmart who offer a wide range of aesthetic-looking pieces with budget-friendly prices, has further pressured OEA's sales quantity performance in these categories (Katelaris, 2025).

In the Technology category, the data reveals consistently negative sales quantity. While the remote working trend initially increased demand for technology, many businesses have shifted to renting electronic equipment rather than purchasing it outright (Burgio-Ficca, 2024). Sustainability trends are also influencing purchasing preferences, with buyers increasingly seeking environmentally friendly and cost-effective options (Burgio-Ficca, 2024). Expanding the range of sustainable products such as recycled paper, biodegradable pens, and sustainably sourced furniture can attract sustainability-focused businesses. Additionally, embracing digitalization and offering smart office devices, along with ergonomic furniture, will position OEA competitively amid evolving workplace trends (Modi, 2024).

1.4 What-If Scenarios

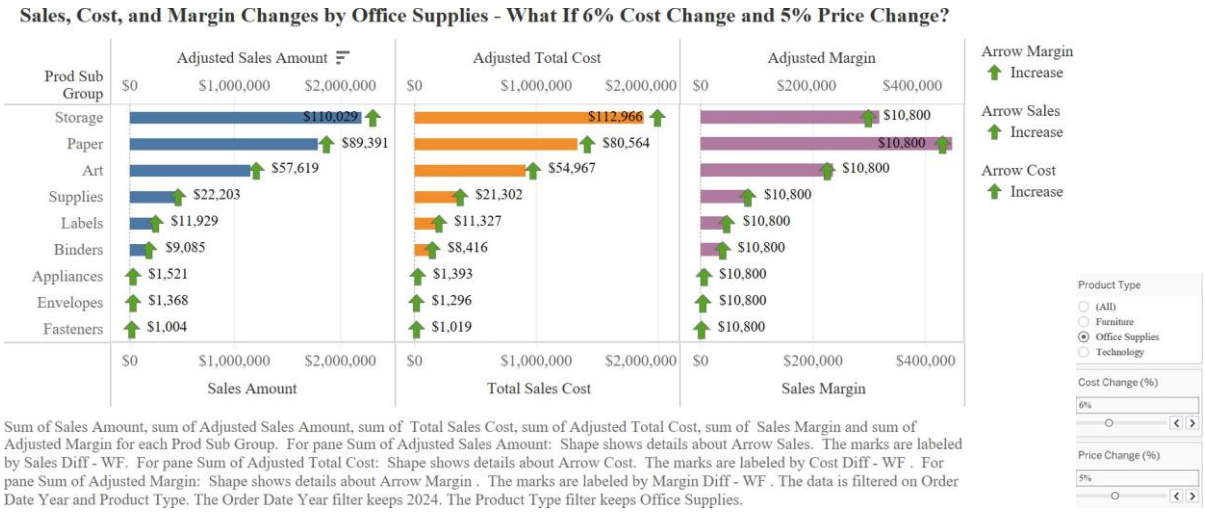


Figure 1.4: Percentage Change in Quantity between 2023 and 2024

This simulation operates on the principle that price increases coupled with cost increases directly enhance margin performance assuming demand and volume parameters remain constant.

OEA's strategic positioning should leverage favorable industry cost dynamics currently reshaping the office supplies sector. While digital transformation requires investment in skilled logistics and SEO personnel, overall operational costs are declining due to fewer physical stores (Burgio-Ficca, 2025). Simultaneously, bulk purchasing strategies and a strengthening Australian dollar are reducing procurement costs, particularly for international products (Burgio-Ficca; Reserve Bank of Australia, 2025), creating significant cost advantages.

At the same time, the industry's pivot toward premium eco-friendly products presents substantial margin enhancement opportunities. Leading suppliers like Bunnings have launched sustainable solutions such as the Kobra Flexpack Desktop Eco-Friendly Cardboard Recycling Machine, while Officeworks has expanded its Greener Choices program to capture environmentally conscious consumers (Bunnings, n.d; Van, 2021). These strategic moves demonstrate market acceptance of premium pricing for sustainable alternatives.

For OEA, this translates to strategic investment opportunities where short-term costs in digital capabilities and sustainable product lines are offset by customer willingness to pay premiums for

convenience and environmental benefits (Cam, 2023). The simulation validates this approach: a 6% cost increase remains profitable when paired with a minimum 5% price adjustment, particularly for eco-certified products commanding premium positioning. This enables OEA to confidently invest in product enhancements like green-certified inventory while maintaining robust profitability through strategic pricing alignment.

2. Deep Dive on Customer Base

2.1 RFM Analysis

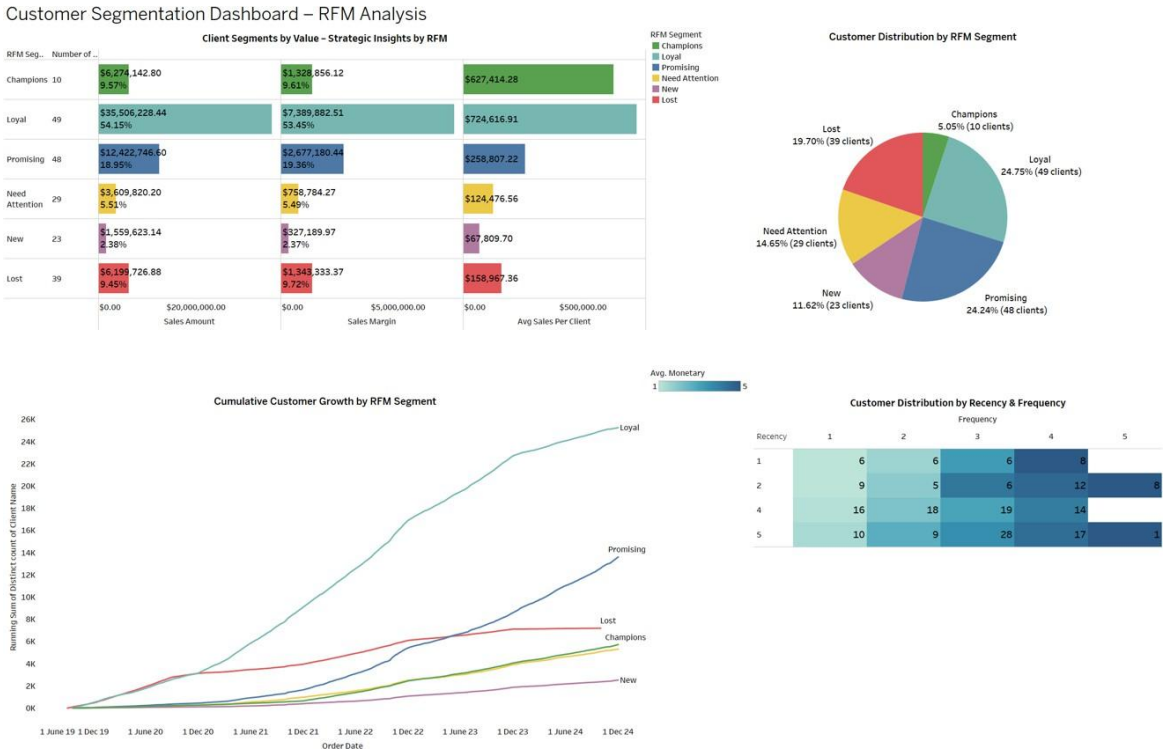


Figure 2.1

To uncover behavioural insights and support retention strategy, an RFM (Recency, Frequency, Monetary) model was applied to OEA's 2019–2024 transaction data. Customers were grouped into six behavioural segments—Champions, Loyal, Promising, Need Attention, New, and Lost—based on percentile thresholds across each RFM dimension (see Appendix A). This framework highlights value concentration and retention risks crucial to addressing OEA's challenges of churn, margin pressure, and shifting preferences (Singh & Singh, 2016).

Loyal and Promising clients make up nearly 50% of the customer base and contribute a combined $48M in sales, with Loyal clients also ranking highest in average sales per customer. These segments exhibit strong retention and long-term value potential. In contrast, Need Attention and Lost customers show deteriorating recency and low purchase frequency—flagging them as churn risks. The Recency-Frequency heatmap visually confirms this behavioural drift.

The dashboard integrates calculated fields and filters (e.g., RFM percentiles, monetary quartiles) to support lifecycle-targeted strategies. High-value Promising clients are ideal candidates for loyalty reward programs, while low-value Lost customers may be deprioritized or shifted to low-cost service models. The cumulative growth chart further validates the segmentation logic by tracking behavioural shifts over time (Rita et al., 2023b; Luo et al., 2017).

2.2 Customer Profitability Segmentation

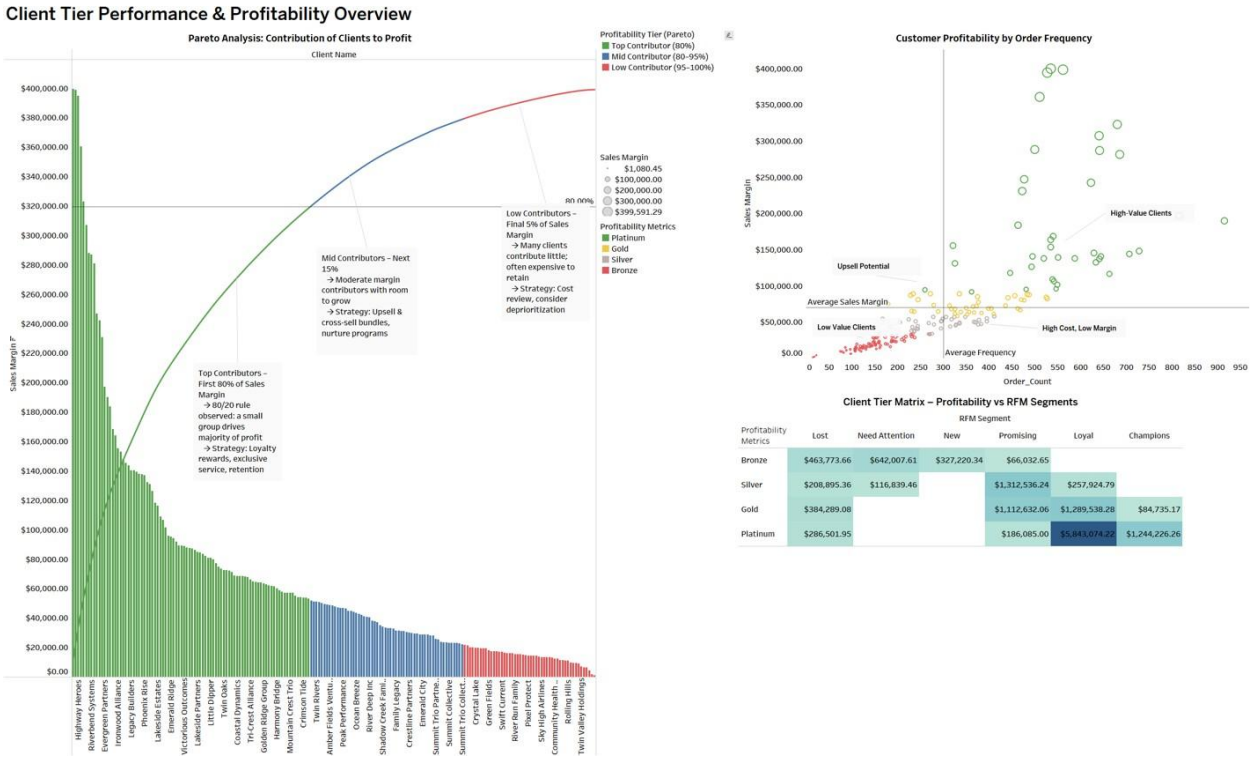


Figure 2.2

A multi-layered profitability analysis was conducted to classify Office Essentials Australia's (OEA) clients into actionable profitability tiers, integrating sales margin, order frequency, and

RFM-based lifecycle status. Leveraging Pareto analysis, we observed that just 20% of customers—such as Quality First Services and Twin Peaks—contributed over 80% of total profit. These top-tier clients consistently combine high-frequency and high-margin profiles, validating retention strategies centered on premium service bundles, exclusive support, and cross-category upselling (Kruger, 2011).

Mid-tier contributors (next 15%), while less dominant, present compelling growth potential. Clients in this bracket show moderate frequency but healthy margins, indicating capacity for expansion. Tactical levers such as category bundles (e.g., chairs + binders) and tiered loyalty incentives can unlock latent value and reduce defection risk.

In contrast, the bottom 5% of clients—low-margin, high-cost accounts like Summit Ridge Group—were flagged as unprofitable despite regular purchasing. These clients may require cost-efficient servicing models or deprioritization in marketing and sales strategies.

The quadrant scatterplot (Sales Margin vs. Frequency) and matrix visualizations confirm the validity of this tiered model. By aligning profitability tiers with targeted lifecycle actions—e.g., retain Promising–Platinum, reactivate Need Attention–Silver—OEA can optimize its resource allocation, improve profit resilience, and reduce overreliance on new customer acquisition.

2.3 Product Preference Analysis

Figure 2.3

Heatmaps reveal strong and consistent category affinities among Loyal and Platinum-tier clients, who show the highest engagement with high-utility, scalable categories such as Phones ($8.8M), Paper ($6.01M), and Chairs ($6.19M). These categories form the core of OEA's revenue engine and reflect the operational essentials for its most valuable B2B clients.

Champions exhibit similar preferences (Phones: $1.57M, Paper: $1.02M, Chairs: $1.096M) but at lower volumes, indicating high value per transaction despite fewer purchases—a pattern typical of executive-level or niche bulk buyers.

Conversely, Bronze and Silver clients display broader but weaker engagement across the product range. Categories like Art Supplies, Copiers, and Storage attract moderate interest from these tiers, signalling potential for cross-sell or bundle strategies to increase basket size and category penetration.

Strategic Recommendation:

- Protect high-performing core: Introduce loyalty bundles for Phones, Paper, and Chairs tailored to Loyal and Champion clients, reinforcing stickiness and sustaining recurring revenue (Lin & Bowman, 2021).
- Expand mid-tier engagement: Deploy targeted campaigns to Bronze/Silver clients promoting multi-category bundles (e.g., Art + Storage) or "smart office kits," which combine lower-engagement items with staple categories (Bijmolt et al., 2017).
- Reinforce category leadership: Use product affinity data to guide merchandising, e.g., promoting accessories frequently bought with top items (e.g., Paper + Labels).

By aligning product strategy with RFM-defined behaviours, OEA can drive margin growth while personalizing engagement by customer tier—advancing both retention and expansion goals.

3. Product Performance Analysis

3.1 Sales & Margins Performance

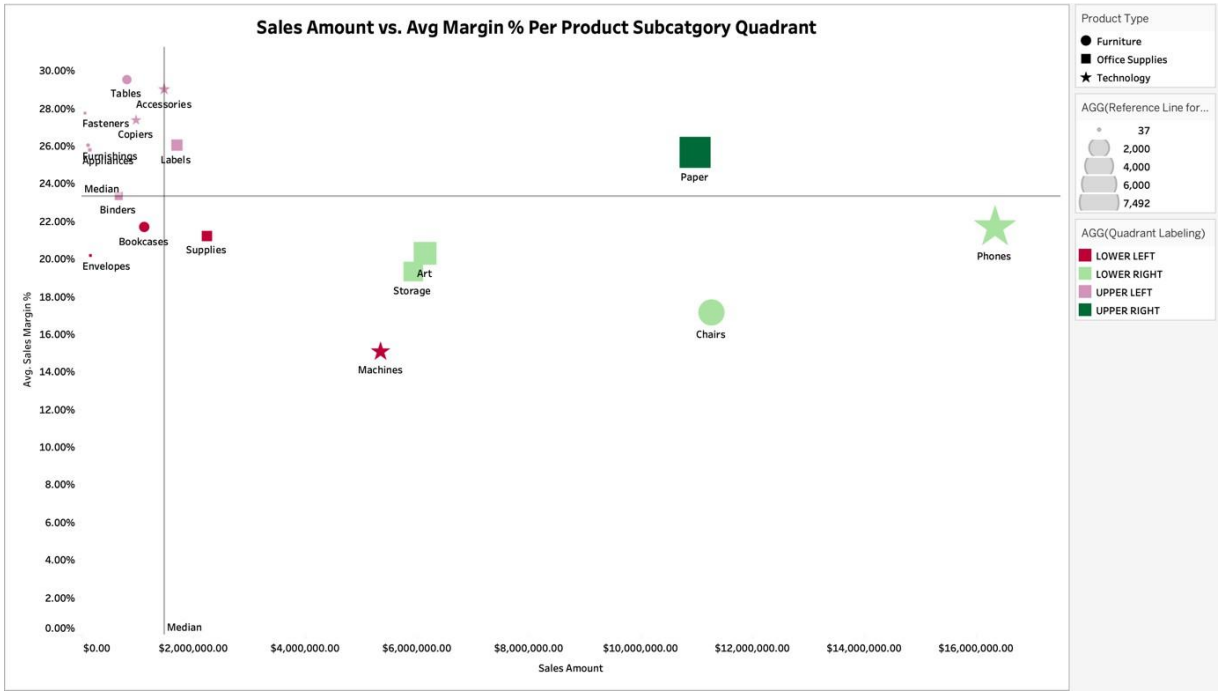


Figure 3.1: Sales Amount Vs. Average Margin % Per Product Subcategory

Upper Right (High Sales, High Margin): Paper stands out as OEA's most scalable consistently delivering high sales volumes and margins. This performance reflects robust and sustained market demand, especially in economic hubs like New South Wales and Victoria, where the concentration of corporate headquarters and a substantial base of SMEs (small and medium-sized enterprises) further amplify the baseline need for paper products.

Lower Right (High Sales, Low Margin): High volume but lower margins indicate these subcategories are highly price-sensitive, likely influenced by intense market competition and commoditization pressures. For instance, Chairs and Phones drive the highest sales revenue but yield only modest margin percentages, underscoring the necessity for OEA to adopt inventory management and implement margin optimization strategies. Approaches such as introducing value-added services like extended warranties, or bundled solutions to support margin uplift in these competitive segments.

Upper Left (Low Sales, High Margin): Accessories, Labels, and Copiers fall into this quadrant, indicating that while they are not as scalable as high-volume categories, they offer attractive margins and niche market appeal. Demand for these items is often periodic, surging during specific periods such as back-to-school. Targeted marketing initiatives and seasonal promotional strategies, enabling OEA to capitalize on peak demand windows, increase basket size, and drive incremental profitability without diluting margins.

Lower Left (Low Sales, Low Margin): Underperforming subcategories such as Bookcases, Envelopes, and Supplies exhibit both low sales volumes and margins, signaling heightened vulnerability to shifts in workplace practices and digital transformation. These segments are particularly exposed to declining demand as organizations digitize workflows and optimize space utilization. OEA should consider rationalizing the SKU portfolio or bundling these products with higher-performing item.

Others: Storage and Art subcategories display balanced performance, positioning them as solid contributors with potential for further growth through focused marketing or product innovation. With targeted investment or tailored campaigns, these segments could be scaled to deliver incremental value. In contrast, Machines exhibit moderate sales but persistently low margins, suggesting the need for operational review.

3.2 Margin Segments

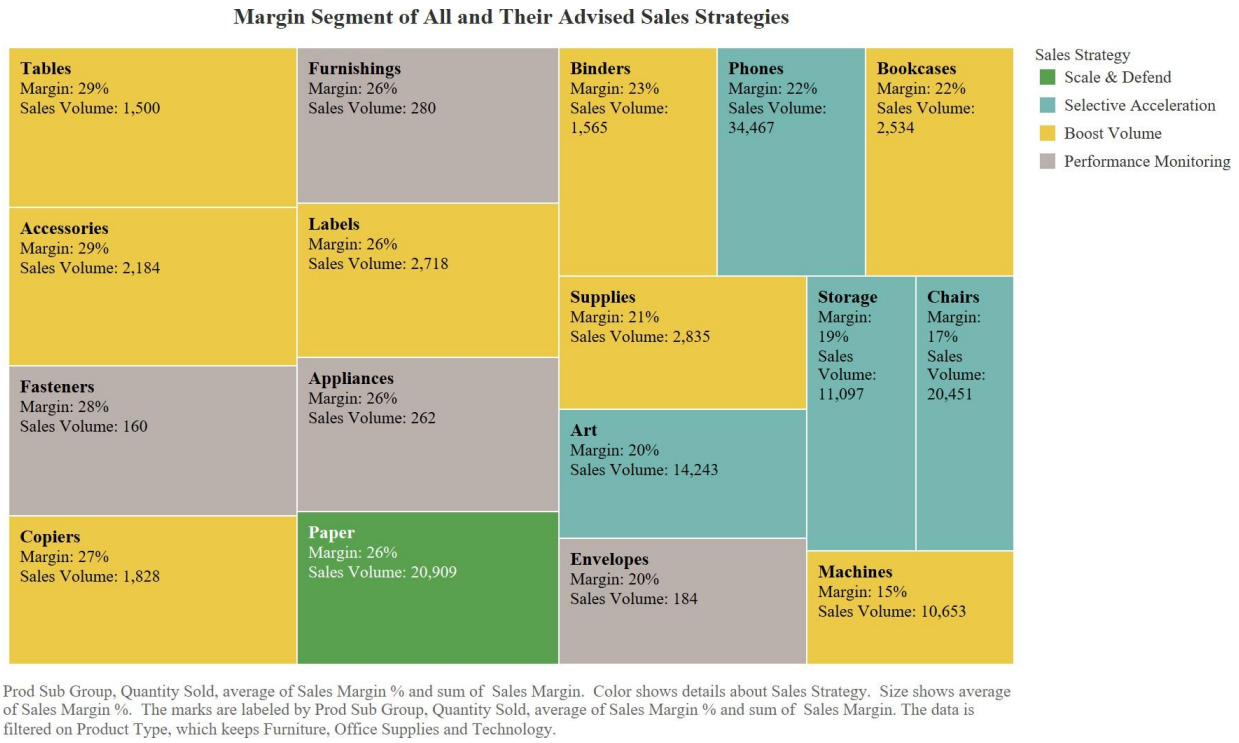


Figure 3.2

The margin-volume matrix analysis reveals a multi-prone optimization strategy requiring differentiated approaches across product tiers. Paper products, meeting the high-margin, high-volume criteria, function as OEA's profitability cornerstone and demand protective strategies. Sustaining this performance requires strategic bundling with complementary lower-volume items such as copiers or binders to amplify transaction values while preserving margin integrity.

High-margin, low-volume products including accessories and tables present significant scaling potential through intelligent product pairing. Strategic combinations through promotion catalogs such as tables with chairs or binders with papers, create compelling value propositions that strengthen product associations and drive comprehensive purchasing decisions, supported by contemporary retail analytics research (Yuliana & Oetama, 2023).

Mid-tier products (high margin, medium volume) like phones, art supplies, storage, and chairs warrant selective acceleration through targeted marketing investments and promotional

campaigns. These categories benefit from demand stimulation via personalized offers, promotional campaigns (such as social network websites and discount offers for phones) (Ota et al., 2022), and complementary bundling strategies between commonly associated pairs of products that enhance product value and conversion rates (Stremersch & Tellis, 2002).

Despite digitalization pressures reducing traditional office supplies demand (Burgio-Ficca, 2025), strategic bundling and promotional catalog approaches remain profitable approaches for OEA through value reinforcement and cross-category purchase acceleration.

3.3 Top Customers per Product Line

Figure 3.3: Top 5 Customers of three Product Types in all Australian States

Figure 9 depicts OEA's five major customers categorised by product category, highlighting the clients that most substantially impact sales in Technology, Office Supplies, and Furniture. Twin Peaks, Highway Heroes, and Quality First Services are classified as loyal customers, constituting the strong foundation of OEA's customer base. The presence of these clients across many product categories indicates solid relationships and highlights the opportunity for smart cross-selling and upselling. Twin Peaks leads sales in Technology and Office Supplies but ranks third in Furniture, presenting an optimal chance for bundled furniture promotions or exclusive deals. Clients like Unity Sports, who presently concentrate only on Technology sub-group, might be motivated to diversify via tailored marketing strategies or specific price promotions. To maintain

competitiveness and improve B2B efficiency with Unity Sports, OEA can include generative AI into customer relations and pricing mechanisms. The approach facilitates customised product suggestions, including wearables and fitness technology for Unity Sports. AI-driven methods may enable OEA to optimise discounts, evaluate the impact of price scenarios on KPIs, and redefine its competitive stance in the market (Valdivieso et al., 2025; Kumar, 2024).

3.4 Price Sensitivity & Demand Elasticity

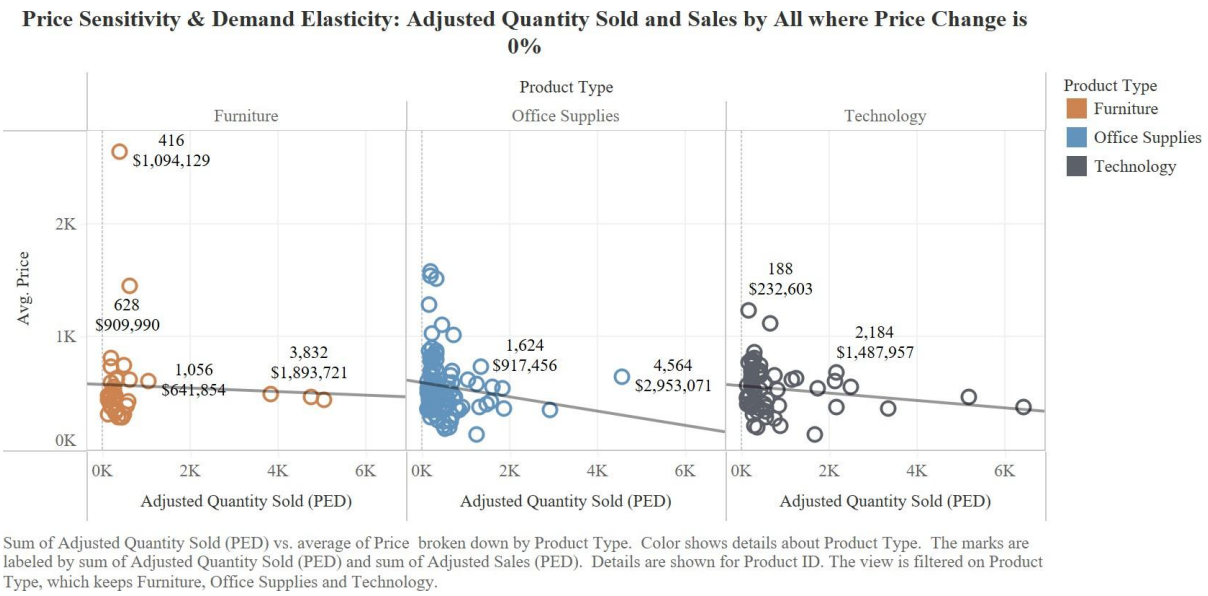


Figure 3.4

Price elasticity of demand (PED) measures consumer responsiveness to price changes, calculated as percentage change in quantity demanded divided by percentage change in price. Coefficients greater than one indicate elastic demand (high price sensitivity) while less than one represents inelastic demand (low price sensitivity) (Gallo, 2015).

OEA's analysis reveals distinct demand sensitivities requiring tailored strategies. Technology products demonstrate high elasticity due to abundant substitutes and rapid innovation. Office supplies exhibit remarkable inelasticity, reflecting their essential nature as workplace necessities. Furniture displays moderate elasticity, characteristics of planned and durable purchases balancing price with quality considerations (Kindness, 2023).

To avoid undesirable customers' responsiveness to price change, it is recommended to conduct thorough market research and execute strategic implementation that requires transparent pricing practices with clear communication of pricing rationales to foster consumer trust and mitigate perceptions of unfairness (Rebecca et al., 2024). For technology products, OEA should adopt flexible pricing strategies utilizing advanced data analytics to predict demand fluctuations and adjust prices according to market conditions. Office supplies warrant stable premium pricing with educational campaigns explaining value propositions. Furniture pricing should leverage consumer insights to optimize competitiveness while maintaining transparency. This approach maximizes pricing strategy effectiveness while supporting ethical business practices across diverse product categories (Rebecca et al., 2024).

4. Customer Lifetime Value & Churn Rate

4.1 CLV analysis

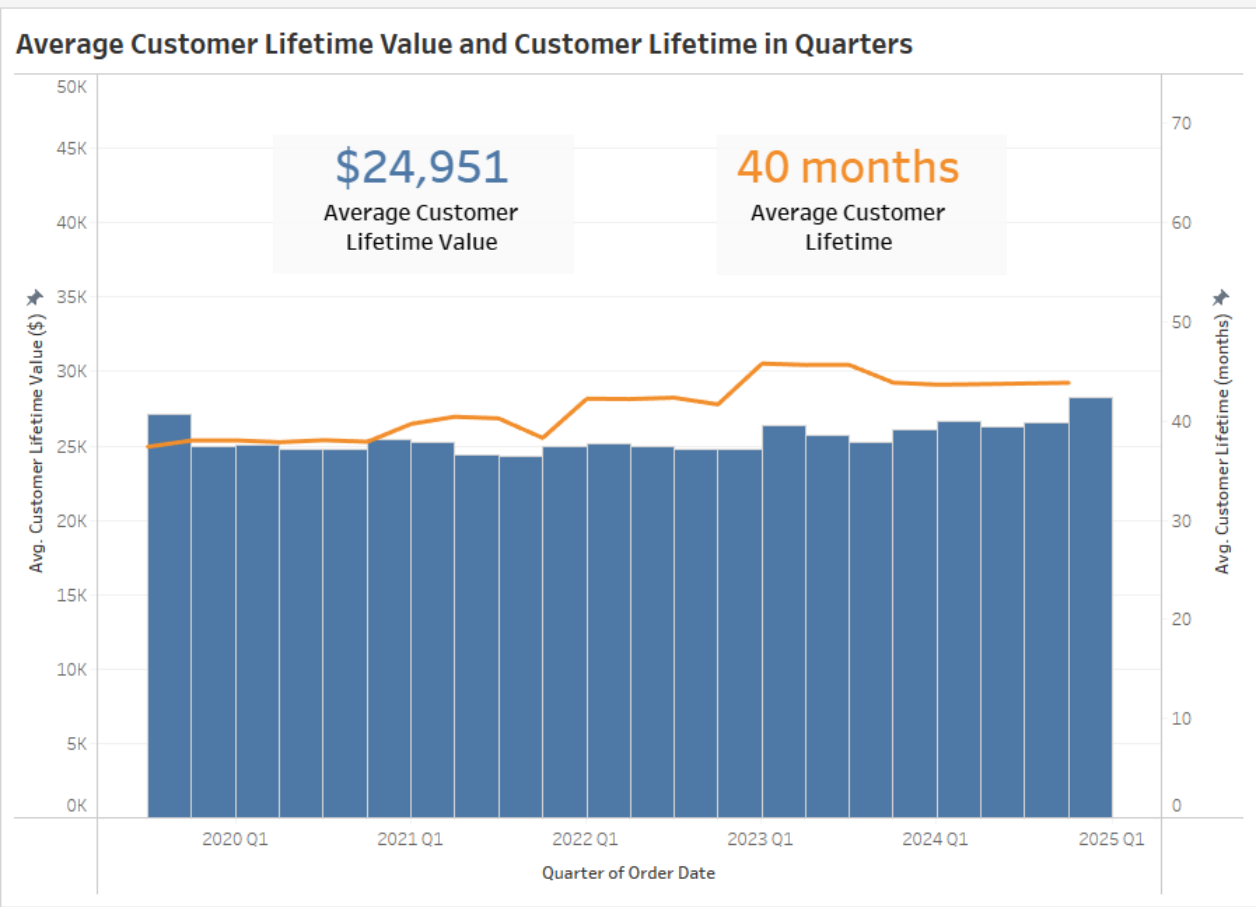


Figure 4.1: Average CLV and Customer Lifetime in Quarters

Customer Lifetime Value (CLV) quantifies the net profit a company can expect from a customer over the entire duration of their relationship (Gupta & Lehmann, 2003). CLV is typically derived from average purchase value, purchase frequency, and customer lifespan (Kumar & Reinartz, 2016). In the provided data (OEA internal dataset, 2025), CLV remained relatively flat at $24–$25K throughout 2020 and 2021 before rising to $27–$28K in 2022 and peaking near $29K by Q1 2025. This upward trend corresponds with an increase in average customer lifespan from approximately 30 months in early 2020 to around 45 months by 2025, indicating that customers are both staying longer and spending more per period.

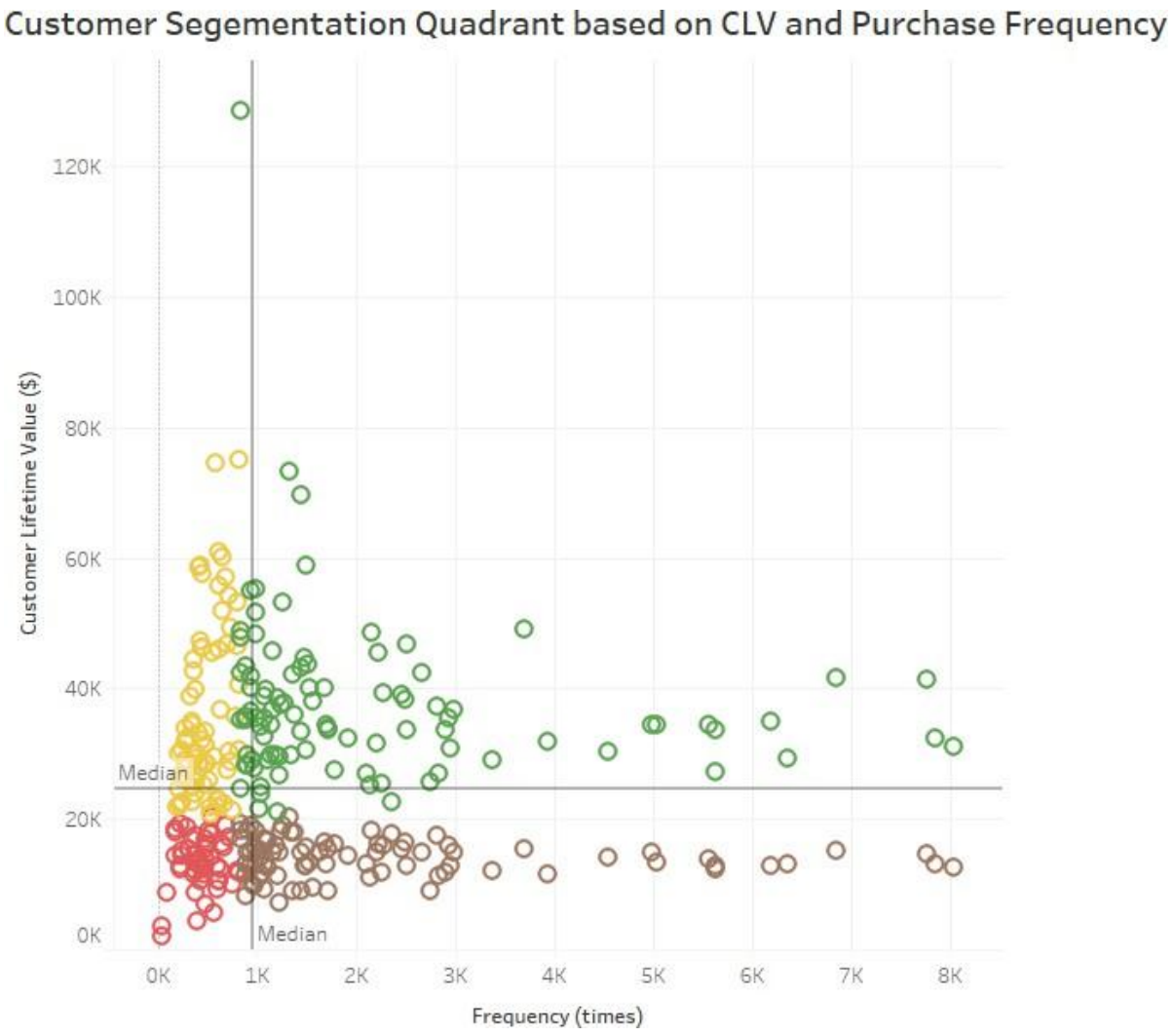


Figure 4.2: CLV and Frequency Customer Segmentation

Segmentation analysis reveals that most clients fall into the $10K–$20K CLV range, yet their purchase frequency is lower compared to higher-CLV cohorts. Notably, customers in the $60K–$90K CLV brackets exhibit the highest average purchase frequencies, suggesting a core profitable group. The quadrant chart confirms a distinct cluster of high-frequency, high-CLV customers above the median lines. To maximize value, OEA should prioritize retention and upsell opportunities within this top-right quadrant while devising targeted engagement strategies to move moderate-frequency, moderate-CLV customers into higher tiers (Kumar & Reinartz, 2016).

4.2 Churn rate analysis

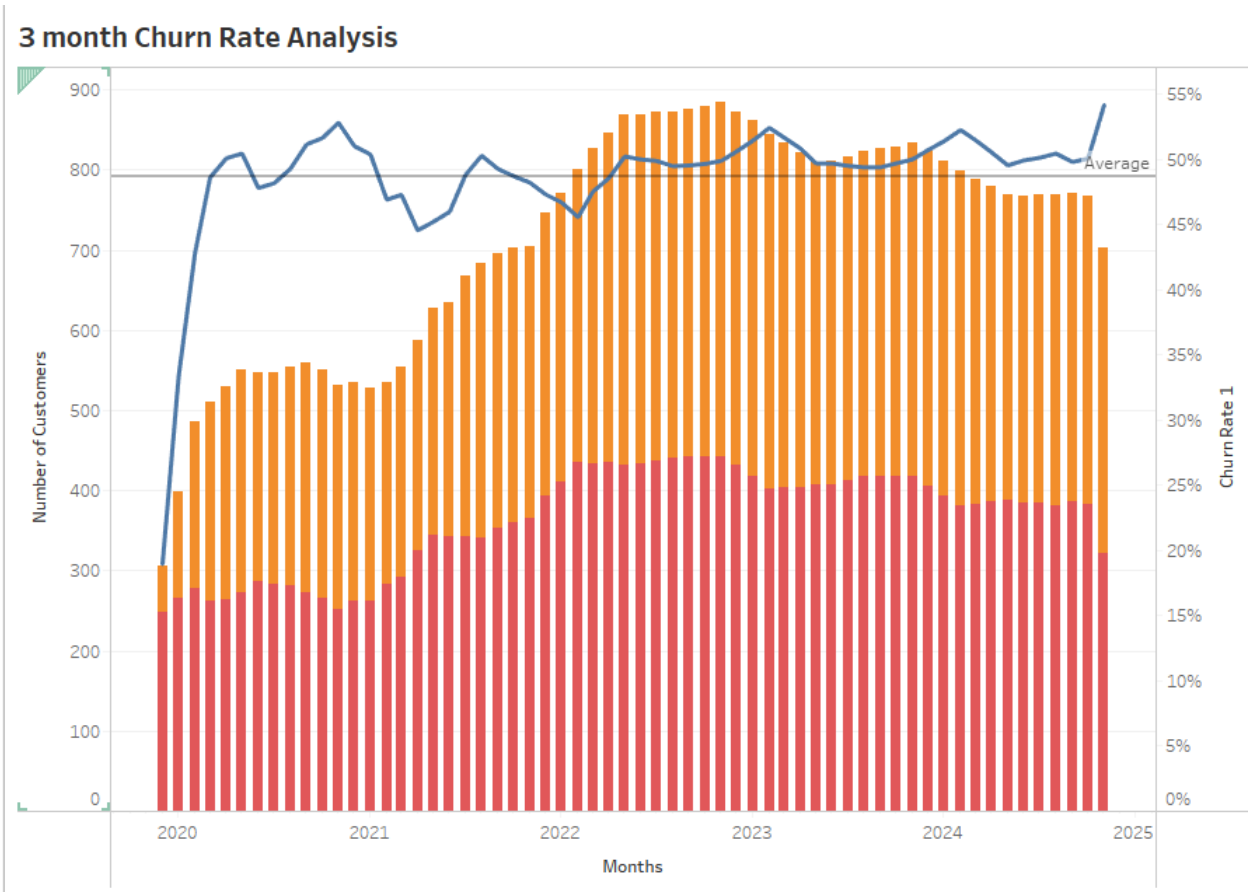


Figure 4.3: 3-month Churn rate analysis

The three-month churn rate varies significantly across Australian states (Figure 5). Queensland exhibits the lowest churn at 11%, suggesting that customer engagement tactics—such as targeted email promotions and localized support—have been particularly effective there (OEA internal data, 2025). Conversely, Victoria records the highest churn at 58%, followed by Tasmania (50%) and South Australia (43%). These elevated rates indicate that customers in these regions become inactive more rapidly, likely due to competitive alternatives or misaligned offerings (Kumar & Reinartz, 2016).

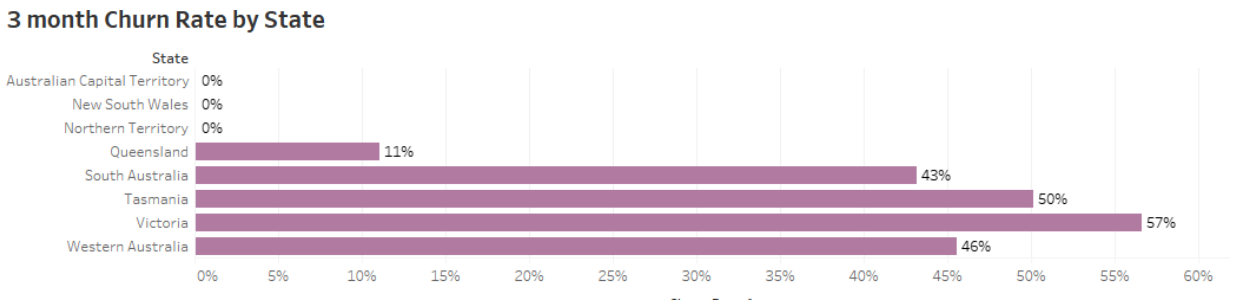


Figure 4.4: 3-month Churn rate by state

Temporal trends reveal that even as overall active customers increased from 2021 to 2024, state-level churn remained persistently high in Victoria and Tasmania, peaking above 60% in late 2024. This suggests that acquisition efforts in these states have not been matched by retention strategies. In contrast, Queensland's churn rose modestly from 8% in early 2022 to 11% in 2025, remaining consistently below national averages. New South Wales, ACT, and Northern Territory show negligible churn (<1%), though these regions represent smaller customer bases, which may limit statistical validity.

Actionable insights include replicating Queensland's engagement model leveraging region-specific loyalty rewards and service touchpoints in high-churn states. Additionally, conducting rapid feedback surveys in Victoria and Tasmania after initial purchases (within 30–60 days) could uncover friction points. By aligning retention initiatives with state-specific customer preferences, OEA can reduce churn rates closer to the national target of ≤40% (Reichheld & Sasser, 1990; Kumar & Reinartz, 2016).

4.3 Retention strategies

Customer Retention & Cohort Analysis

Quarter of ..	Customer p..	Elapsed Quarter 1	2	3	4	5	6	7	8	9	10	11
2019 Q3	58	98.3%	98.3%	96.6%	100.0%	82.8%	77.6%	79.3%	79.3%	79.3%	65.5%	65.5%
2019 Q4	90	88.9%	92.2%	87.8%	82.2%	86.7%	92.2%	92.2%	90.0%	82.2%	82.2%	83.3%
2020 Q1	58	82.8%	86.2%	89.7%	89.7%	96.6%	96.6%	100.0%	84.5%	82.8%	86.2%	86.2%
2020 Q2	25	64.0%	68.0%	76.0%	88.0%	88.0%	92.0%	76.0%	68.0%	80.0%	80.0%	52.0%
2020 Q3	8	62.5%	62.5%	87.5%	87.5%	100.0%	75.0%	75.0%	75.0%	75.0%	50.0%	50.0%
2020 Q4	30	86.7%	100.0%	96.7%	96.7%	76.7%	76.7%	80.0%	76.7%	76.7%	73.3%	76.7%
2021 Q1	18	88.9%	94.4%	100.0%	100.0%	100.0%	100.0%	100.0%	77.8%	83.3%	83.3%	83.3%
2021 Q2	9	77.8%	100.0%	77.8%	100.0%	100.0%	100.0%	55.6%	77.8%	77.8%	77.8%	77.8%
2021 Q3	6	100.0%	100.0%	100.0%	100.0%	100.0%	66.7%	83.3%	66.7%	83.3%	50.0%	50.0%
2021 Q4	43	97.7%	100.0%	97.7%	97.7%	74.4%	76.7%	76.7%	76.7%	69.8%	69.8%	69.8%
2022 Q1	11	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	90.9%	90.9%	90.9%	81.8%
2022 Q2	2	100.0%	100.0%	50.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	
2022 Q4	10	100.0%	100.0%	100.0%	100.0%	70.0%	70.0%	70.0%	60.0%			
2023 Q4	11	100.0%	100.0%	100.0%	100.0%							
2024 Q1	3	100.0%	100.0%	33.3%								

Figure 4.5a: Customer Retention and Cohort Analysis P1

Customer Retention & Cohort Analysis

Quarter of ..	Customer p..	Elapsed Quarter 12	13	14	15	16	17	18	19	20	21
2019 Q3	58	65.5%	65.5%	51.7%	51.7%	51.7%	51.7%	36.2%	36.2%	36.2%	32.8%
2019 Q4	90	83.3%	70.0%	71.1%	72.2%	72.2%	52.2%	52.2%	52.2%	52.2%	
2020 Q1	58	69.0%	65.5%	69.0%	69.0%	48.3%	50.0%	50.0%	44.8%		
2020 Q2	25	64.0%	64.0%	60.0%	32.0%	36.0%	28.0%	20.0%			
2020 Q3	8	62.5%	62.5%	37.5%	37.5%	37.5%	25.0%				
2020 Q4	30	76.7%	56.7%	60.0%	60.0%	56.7%					
2021 Q1	18	72.2%	72.2%	72.2%	77.8%						
2021 Q2	9	66.7%	66.7%	55.6%							
2021 Q3	6	50.0%	66.7%								
2021 Q4	43	67.4%									

Figure 4.5b: Customer Retention and Cohort Analysis P2

The cohort analysis shows a clear pattern of mid- to long-term retention erosion across customer segments. While early cohorts such as 2019 Q3 and Q4 maintained retention above 85% during the first six quarters, many dropped below 60% after Quarter 10 and below 40% by Quarter 18 (OEA internal data, 2025). More recent cohorts (e.g., 2020 Q2, 2020 Q3) exhibited even steeper drop-offs, indicating shorter customer lifespans and weaker long-term engagement. These trends

reflect the “leaky bucket” problem described by Hogan, Lemon, and Libai (2003), where newly acquired customers frequently churn before reaching profitability. The smaller post-2022 cohorts, while showing strong early retention, suffer from volatility due to limited sample sizes. Nonetheless, across all groups, the 5th to 8th quarters consistently emerge as inflection points where loyalty begins to erode.

Addressing this requires a shift from acquisition-centric tactics to lifecycle-driven engagement strategies. Rather than waiting for churn signals after the fact, OEA should identify leading indicators such as declining purchase frequency or lower engagement with campaigns—by Quarter 5 and intervene accordingly (Haenlein et al., 2006). Programs like predictive churn scoring, automated replenishment reminders, or tiered loyalty upgrades can be deployed proactively to extend customer lifetimes (Verhoef, 2003). Additionally, customer education campaigns such as product usage tips or best-practice webinars have been shown to increase retention by deepening perceived value, particularly in B2B contexts (Bolton, Lemon & Verhoef, 2004). A cohort-based, behaviourally informed retention roadmap is not just reactive—it is fundamental to maximizing Customer Lifetime Value.

Conclusion

This comprehensive analysis reveals Office Essentials Australia's strategic positioning requires immediate and targeted interventions across four critical dimensions.

Business Health Assessment demonstrates 4.6% profit growth in 2024, yet exposes significant regional disparities. WA and Queensland's high-growth performance should be replicated in underperforming Tasmania and SA markets, while mature NSW and Victoria markets require premium service differentiation to sustain competitiveness.

Customer Base Analysis identifies OEA's competitive advantage through its loyal customer foundation, with 50% of clients (Loyal and Promising segments) generating $48M in sales. Strategic recommendations include implementing tiered loyalty programs for high-value Champions and targeted reactivation campaigns for the "Need Attention" segment to prevent churn escalation.

Product Performance Analysis reveals Paper as the optimal high-margin, high-volume anchor product, while Chairs and Phones require margin optimization through value-added services. Strategic bundling of high-margin, low-volume products like Accessories and Tables with core offerings presents immediate profitability enhancement opportunities.

Customer Lifetime Value and Churn Analysis shows promising CLV growth to $29K, yet Victoria's alarming 58% churn rate demands urgent intervention. Implementing Queensland's successful 11% churn model nationwide, combined with predictive analytics for early intervention by Quarter 5, will maximize customer lifetime value and sustainable growth.

By executing these data-driven recommendations, OEA can strengthen its market position, enhance customer loyalty, and achieve sustainable profitability while adapting to evolving workplace trends and maintaining its commitment to supporting long-term customer success.

Appendix

Appendix A

Final RFM Segment

Segment Name	Condition
Champions	[RFM_count] > 13
Loyal	[RFM_count] > 9 **AND** [Frequency] > 3
Promising	[RFM_count] > 9 **AND** [Recency] > 3
Need Attention	[RFM_count] > 7 **AND** [Recency] > 2
New	[Recency] > 2
Lost	All other customers not satisfying conditions above

Frequency Score

Score	Order Count Threshold (Percentile)
5	> 95th percentile of [Order_Count]
4	> 70th percentile
3	> 40th percentile
2	> 20th percentile
1	≤ 20th percentile

Recency Score

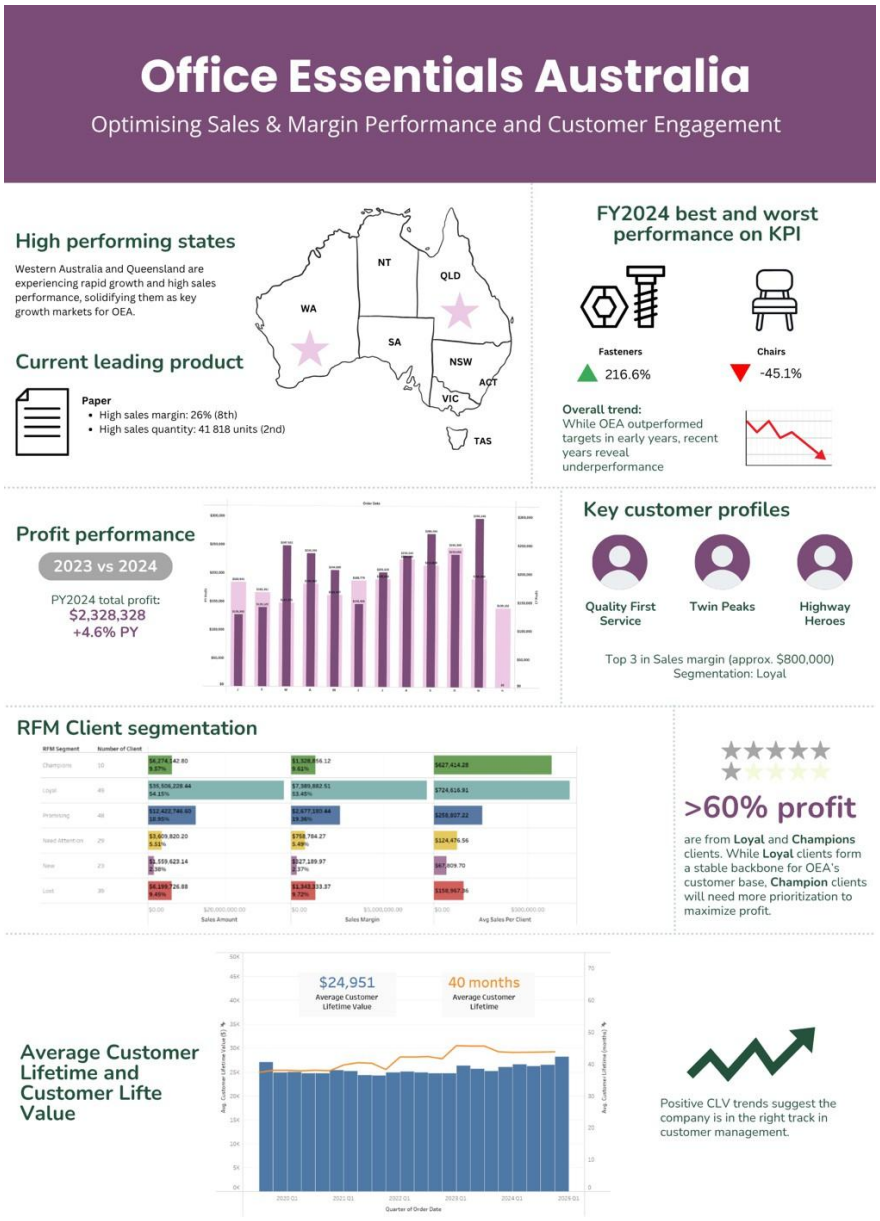
Score	Month Count Threshold (Percentile)
5	≤ 20th percentile of [Month_count]
4	≤ 40th percentile
3	≤ 60th percentile
2	≤ 80th percentile
1	> 80th percentile

Monetary Score

Score	Sales Count Threshold (Percentile)
5	≥ 80th percentile of [Sales_count]
4	≥ 60th percentile
3	≥ 40th percentile
2	≥ 20th percentile
1	< 20th percentile

Appendix B

Infographic



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